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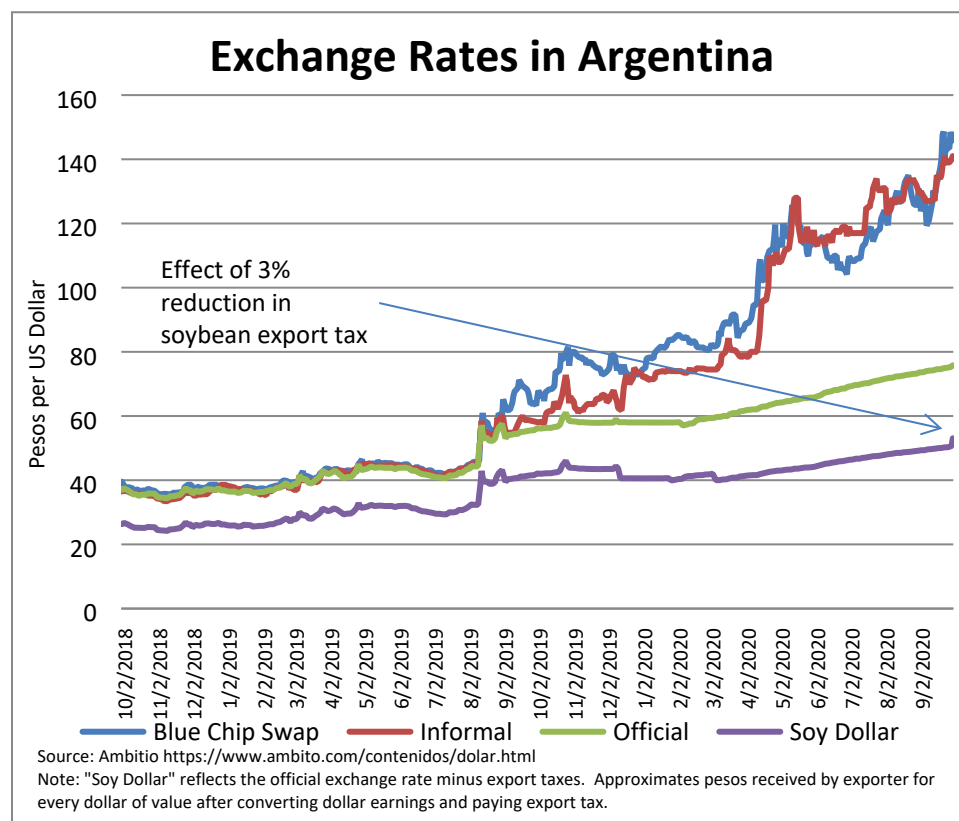
Approved By: Melinda Meador

Report Highlights:

Despite rising international prices for soybeans in recent months, policy and economic uncertainty is leading Argentine farmers to hold stored soybeans, resulting in record high projected ending stocks for the 2019/20 and 2020/21 local crop years. On October 1, Argentina announced temporary reductions in soybean export taxes and a new 2% differential between export taxes on whole soybeans and underlying products. Dry weather has prevented farmers from planting sunflowerseed in the far north of Argentina and will reduce total planted area to 1.685 million hectares. Despite early season dryness, 2020/21 soybean productions is projected up 2.6%, sunflowerseed up 3% and peanut flat compared to 2019/20.

Overview:

The period between fall harvest and spring planting in Argentina has been characterized by robust input and machinery purchases as farmers flush with corn and wheat revenue sought to quickly spend their peso-denominated earnings to avoid falling victim to inflation or currency devaluation. Argentina has primarily been financing its COVID-19 recovery and stabilization efforts through printing more pesos. While inflation has run at more than 40% in recent years, producers fear that the inflation rate will rise even higher once post pandemic economic growth resumes. Further, currency controls intended to boost the foreign currency reserves at the Argentine Central Bank have prevented the Argentine peso from depreciating to the extent it might have otherwise done without such controls. Since the beginning of the COVID-19 crisis in Argentina in March, the peso fell from 63 pesos per US Dollar to 76 pesos per dollar, a devaluation of 21%. However, outside of the formal banking system, an exchange rate of between 130-145 pesos is being reported by market participants. Producers are therefore concerned that if capital controls were to be lifted, official and unofficial rates would converge, resulting in a devaluation of more than 100% against the US dollar. Argentine regulations require that exporters convert their sales from dollars to pesos and farmers are paid in pesos. The Argentine “soy dollar” is the effective exchange rate received by an exporter after exchanging dollars for pesos at the official exchange rate and paying the export tax. As a consequence, producers, especially those farming less than 100 hectares (HA), have been reluctant to sell their soybeans which they see as the safest form of savings besides holding physical US currency. Further, despite recently rising global prices for soybeans, the 33% export tax on soybeans and products means that exporters and processors pay Argentine producers a farmgate price significantly lower than in Brazil or the United States.



The World Bank projects that Argentina's GDP will fall by 7.2% in 2020, though some private analysts believe it could decline by 12-13%. The government of Argentina's fiscal deficit has grown as it has increased spending in an effort to deal with the effects of COVID-19. In order to boost tax revenue and increase dollar reserves held by the Argentine central bank, the government is seeking to increase soy exports. On October 1, 2020 Argentine government officials announced adjustments to the export tax regime intended to encourage farmer selling, exports, and value-added processing in the soy complex. On October 4, [Decree 790/2020](#) was published which temporarily lowered export taxes for soybeans and soybean products and reintroduced a differential export tax between whole soybeans and soybean meal and oil with no expiration date. Industry sources are skeptical that this measure to temporarily lower the export tax rate will significantly increase farmer selling. Most product sales are currently driven by a need to generate cash to cover expenses and farmers have used corn and other crop sales earlier in the year to finance input purchases. Without the ability to convert out of pesos into US dollars many farmers are not expected to sell more than is absolutely necessary. Despite objections from farmer organizations, the local soybean crushing trade association has strongly advocated for a return to a differential export tax for whole soybeans and soybean products. Their position has support among some parts of the ruling governing coalition who see it as an opportunity to boost employment and for Argentina to gain added value rather than simply exporting unprocessed beans as a raw commodity. Differential export taxes have long benefited Argentine soy crushers, but the differential was eliminated by former President Macri in 2018. The Argentine industry has faced complaints from its competitors in international markets for soymeal, soyoil, and biodiesel who view a differential export tax as market distorting.

New Export Taxes for Soy Products from Annex 1 of Decree 790/2020						
Product	HS Code	Mar.-Sep. 2020	Oct. 5-31, 2020	Nov. 1-31, 2020	Dec. 1-31, 2020	After Jan. 1, 2021
Soybeans	1201.90.00	33%	30%	31.5%	32%	33%
Soymeal	1208.10.00	33%	28%	29.5%	30%	31%
Soyoil	1507.10.00	33%	28%	29.5%	30%	31%
Biodiesel* (effective)	3826.00.00	30% (23.07%)	26% (20.6%)	27.5% (21.6%)	28% (21.9%)	29% (22.5%)
<i>Additional HS Codes listed in Annex 1 of Decree 790 2020. *Nominal export tax rates for biodiesel are reduced further due to an export rebate scheme for manufactured products. Effective rates are in parenthesis.</i>						

In addition to continued economic uncertainty, dry conditions over the Southern Hemisphere winter are concerning farmers, especially as local meteorologists are warning of a coming *La Niña* weather pattern that could lead to dryness in January and February, a critical time for soybean development. In the north of Argentina, the dryness has already dissuaded many producers from planting sunflower again. The peanut growing region in Cordoba and San Luis are particularly dry, but producers still have several weeks before they need to plant. Since many producers purchased their seeds, fertilizer, and basic crop protection chemicals immediately following the 2020 harvest, they are locked into their planting decisions. However, dry conditions in recent weeks have negatively impacted the wheat and barley crops, and farmers with the means to renegotiate seed and fertilizer purchases are weighing their options based on October rainfalls. While there is some risk of the government raising import taxes on other grains and oilseeds before harvest, further changes to export tax policy are unlikely to influence decision-making for planting the 20/21 crop. However, farmers are particularly concerned about the potential for shortages or

higher costs for imported fertilizer and pesticides going forward if the government continues to favor policies which discourage imports.

Soybean:

2020/21

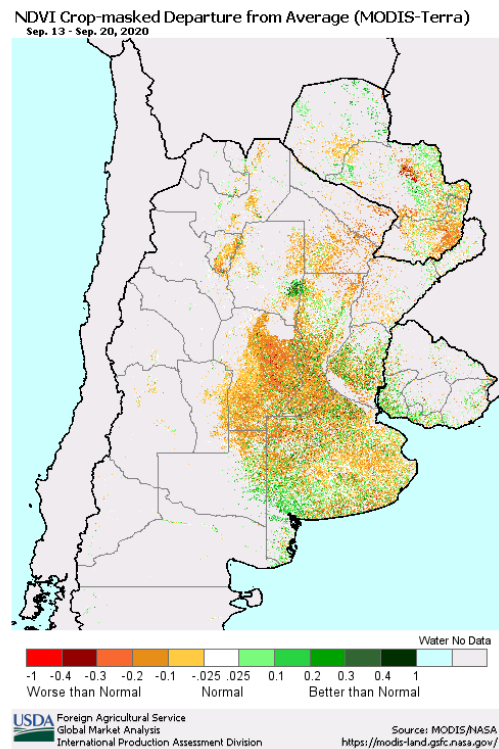
Post maintains forecasted soybean 2020/2021 planted area at 17.5 million hectares, down 500,000 hectares or 5.6% from 2019/2020. Production remains forecast at 51 million tons with a return to trend on yield. Considering local forecasters are projecting weather patterns similar to what occurred in the prior crop season, farmers may be particularly prone to pursuing a strategy that met with success in the prior year. While overall, yields were relatively normal, producers with some of the most productive farmland suffered yield loss due to a lack of rain during critical weeks in February 2020. Many producers who will harvest their wheat soon are obligated to plant soybeans because of the pest risk and high input cost of planting second crop corn onto wheat stubble. While generally soy is the least risky crop for Argentine farmers because it requires fewer inputs than other crops, late season corn has the potential for higher returns and requires less spending on seed and fertilizer than early-planted corn especially in much of the Province of Cordoba. Late-season corn may also prove attractive because it has the potential for maturing after rains projected to arrive in March. Recent shifts into soybeans because of dry weather in the north of Argentina will likely be compensated for by shifts out of soybeans in the south.

Post forecasts 2020/21 soybean exports at 8 million metric tons (MMT), down 1 MMT from April, but up 19% from projected 2019/20 levels. The reduction is driven by several factors, including expected continued slow farmer selling in an inflationary local economic environment, lower Chinese demand for Argentine whole beans in the face of rising Brazilian production and an increased willingness to import US soybeans. Crush is reduced to 42.5 MMT, down 1.5 MMT from April, but still up 10.4% from projected 2019/20 levels as crushers benefit from the new differential export taxes and resume more normal operations post COVID-19. Imports are reduced to 4.5 MMT, down 500,000 from April. Stocks remain extremely high at 14.59 MMT, but down slightly from record 2019/20 levels as farmers conserve soybeans as a hedge against inflation and currency devaluation.

2019/20

Post revises production down to 49.7 MMT matching USDA Official. This yield reduction is due to a lack of significant precipitation in late February and early March 2020, especially in the northern portion of the core growing region in southern Santa Fe province. With a harvested area of 17,500, Post estimates yield at 2.84 MT/HA.

Dry Conditions in Argentine Croplands



Post forecasts 2019/20 crush at 38.5 MMT, down 2.2 MMT or 5.4% from Post's Oilseed Annual published in April 2020 on slow farmer selling and lower than trend monthly crush figures reported since June. While the initial slow pace of sales could in part be attributed to low commodity prices that followed global COVID-19 related lockdown, prices have risen significantly over the ensuing months but farmers have still been unwilling to part with their soybeans. The Argentine crushing industry is facing a peculiar situation where close to half of its theoretical capacity is unused, but the plants that are operating face a constrained and expensive labor supply. Rules implemented by the government, which were intended to protect the health and safety of employees, mean that workers who met criteria to be classified as high risk for adverse outcomes with COVID-19 were sent home at the beginning of the pandemic. Existing labor laws prevented companies from temporarily hiring additional workers to replace them. Employees were divided into separate teams to help mitigate the risk of COVID-19 from spreading among all workers. The net effect is that the remaining workers are working longer hours and receiving significant overtime pay, but plants lack the flexibility to respond to changing demand conditions and are having difficulty performing standard maintenance. Crush margins remain difficult despite rising international prices for soymeal and soyoil.

Imports are revised down 350,000 tons to 5.15 MMT from the April 2020 Annual Report. This level is still up 43% from 2018/19 and imported soybeans are currently playing a particularly important role as exporters and crushers struggle to obtain soybeans from Argentine farmers. Paraguay is the chief source of imported soybeans for Argentina but low river levels have raised costs for barging soybeans down the Parana River to the port and industrial complex near Rosario, Argentina. Barges unable to fill to capacity are sometimes delayed waiting to transit particularly low level stretches of river.

Exports are revised up 200,000 tons to 6.7 MMT from the April 2020 Annual Report on larger than expected early season exports, but are still down 35% from 2018/19. China is the primary purchaser of Argentine whole soybeans and Chinese importers continue to pay a discount for lower protein Argentine soybeans relative to Brazilian beans. The increasing willingness of Chinese importers to purchase US soybeans will further put Argentine origin beans at a competitive disadvantage. Despite the difficulty in procuring soybeans from farmers, a major driver for exports of all commodities is the need to meet export declarations made in the prior year. Exporters scrambled to register export sales in the period between August and December 2019, because exports registered prior to the expected implementation of higher export tax rates were subject to the lower rates at the time of registration. Exporters are seeking to fill these registered sales to avoid penalties associated with not doing so.

2019/20 ending stocks are raised to 15.09 MMT, the highest on record, as Argentine farmers wait for more local macroeconomic stability, reduced inflation, a relaxation of currency controls, and an expected currency devaluation.

Oilseed, Soybean (Local) Market Year Begins Argentina	2018/2019		2019/2020		2020/2021	
	Apr 2019		Apr 2019		Apr 2020	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	18900	18000	17400	1800	17500	17500
Area Harvested (1000 HA)	16600	17500	16900	17500	17300	17500
Beginning Stocks (1000 MT)	9100	9100	10110	10843	9625	15093
Production (1000 MT)	55300	55300	49700	49700	53500	51000
MY Imports (1000 MT)	3789	3788	4700	5150	4000	4500
Total Supply (1000 MT)	68189	68188	64510	65693	67125	70593
MY Exports (1000 MT)	10255	10255	7735	6700	7500	8000
Crush (1000 MT)	40929	41790	40000	38500	42000	42500

Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	6895	5300	7150	5400	7260	5500
Total Dom. Cons. (1000 MT)	47824	47090	47150	43900	49260	48000
Ending Stocks (1000 MT)	10110	10843	9625	15093	10365	14593
Total Distribution (1000 MT)	68189	68188	64510	65693	67125	70593
Yield (MT/HA)	3.3313	3.16	2.9408	2.84	3.0925	2.9143
(1000 HA) ,(1000 MT) ,(MT/HA)						

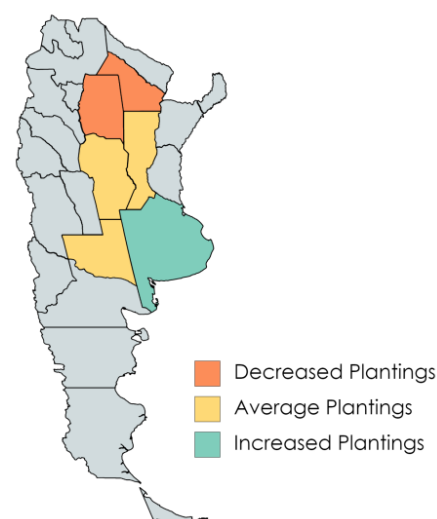
Sunflowerseed:

2020/21

Post forecasts sunflower planted area at 1,680,000 HA down 220,000 HA from April, but still up 3% from 2019/20 on dry weather in the far northern growing region which has largely prevented planting in the Provinces of Chaco and Santiago de Estero. Producers in that region generally seek to finish planting by the end of August as later planting dates significantly increase the risk of black rust damaging the crop, but dry weather prevented them from sewing by that time. Harvest area is reduced 30,000 HA based on weather related losses in that region which have already occurred. Farmers face a difficult choice on finding alternative crops to replace sunflower in the north. High transportation costs to reach export terminals in Rosario reduce margins for all crops.

Agronomically, cotton is the best alternative in the region, but domestic demand for cotton is sharply limited in Argentina and the severe COVID-19 related recession is likely to further reduce domestic demand especially with low oil prices making synthetic-based fabrics more competitive. Soybean yields are generally low in the north and corn requires higher spending on inputs than in other regions. However, demand for sunflowerseed oil to supply the domestic market remains strong and rising international prices are likely to persuade farmers in southeastern Buenos Aires province to plant more sunflowerseed than previously anticipated. Contacts report that unused supplies of planting seed from the north are being transported south in anticipation of increased demand there. Despite sunflower's reputation for being less affected by potential *La Niña* conditions than other crops, farmers in western Buenos Aires Province are not anticipated to increase their plantings relative to the prior year. Total production is projected at 3.4 MMT. Exports will be limited to 150,000 tons, primarily for confectionary uses.

Projected Sunflowerseed Plantings



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2019/20

Post revises production down slightly to 3.3 MMT in line with USDA official, as reported yield gains in southeastern Buenos Aires Province were not sufficient to compensate for losses in north. Crush is revised slightly downward in line with the lower production.

Oilseed, Sunflowerseed	2018/2019	2019/2020	2020/2021
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Market Year Begins Argentina	Mar 2019		Mar 2019		Mar 2020	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	1900	1900	1750	1625	1680	1680
Area Harvested (1000 HA)	1876	1876	1564	1575	1600	1650
Beginning Stocks (1000 MT)	990	990	987	987	837	837
Production (1000 MT)	3825	3825	3300	3300	3400	3400
MY Imports (1000 MT)	1	1	0	0	0	0
Total Supply (1000 MT)	4816	4816	4287	4287	4237	4237
MY Exports (1000 MT)	173	173	175	175	150	150
Crush (1000 MT)	3380	3380	3000	3000	3000	3000
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	276	276	275	275	275	285
Total Dom. Cons. (1000 MT)	3656	3656	3275	3275	3275	3285
Ending Stocks (1000 MT)	987	987	837	837	812	802
Total Distribution (1000 MT)	4816	4816	4287	4287	4237	4237
Yield (MT/HA)	2.0389	2.0389	2.11	2.0952	2.125	2.0606
(1000 HA) ,(1000 MT) ,(MT/HA)						

Peanut:

2020/21

Planted acres are projected at 340,000 HA, up 25,000 or 7.8% from 2019/2020 planted acreage. A return to trend for yields will result in projected production of 1.3 MMT, flat compared to revised 2019/2020 production. After three seasons of consecutive declines in planted acres farmers will begin to return some acres to peanuts after rotating to other crops. Much peanut acreage is contracted and processors are keen to avoid oversupply while still taking advantage of expected growing global demand. Export taxes for peanuts and peanut products were reduced in March as part of the Decree 230/2020 increasing their profitability relative to soybeans and grains. The bulk of peanut production is in southern Cordoba Province, with some production in La Pampa, Buenos Aires, and San Luis Provinces. Dry weather is causing concern among some producers, but rain still has time to arrive for late October planting. Industry sources report some concern over increased investment in peanut production in neighboring Brazil. Post raises export projection 150,000 tons to 900,000 tons in line with USDA official which lowers ending stocks to 331,000 tons.

2019/20

Post revises peanut production up to 1.3 MMT tons, matching USDA official on better than expected yields following positive weather conditions in the lead up to harvest.

Oilseed, Peanut Market Year Begins Argentina	2018/2019		2019/2020		2020/2021	
	Mar 2019		Mar 2019		Mar 2021	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	330	330	368	315	330	340
Area Harvested (1000 HA)	326	326	368	310	330	340
Beginning Stocks (1000 MT)	350	350	572	523	594	453
Production (1000 MT)	1419	1419	1300	1300	1320	1300
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	1769	1769	1872	1823	1914	1753
MY Exports (1000 MT)	800	800	900	900	950	950
Crush (1000 MT)	319	319	300	340	320	340
Food Use Dom. Cons. (1000 MT)	55	57	56	60	57	62
Feed Waste Dom. Cons. (1000 MT)	23	70	22	70	23	70

Attachments:

No Attachments